

**Research Project: The Airline Industry and JetBlue Airways**

Understanding the Airline Industry Through the Lens of JetBlue Airways

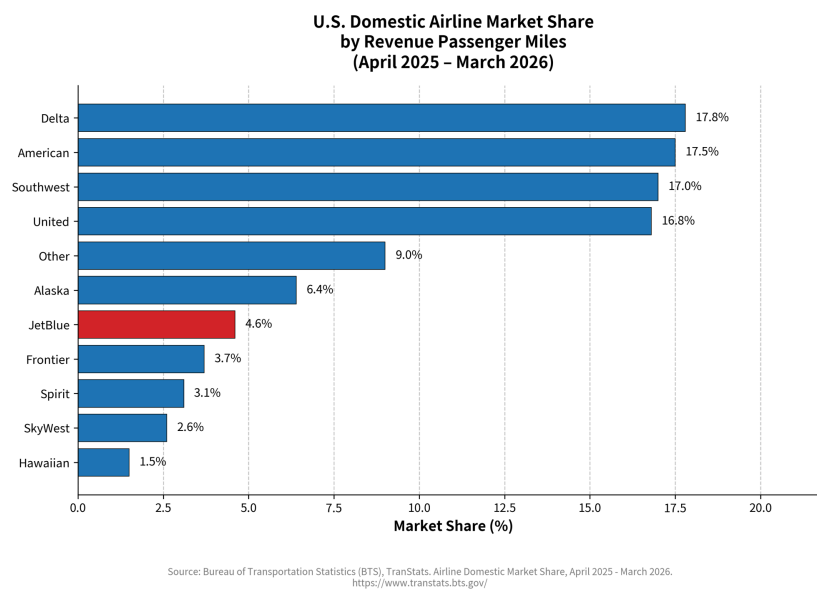
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## The Airline Industry

The global commercial airline industry is a cornerstone of the world economy, which enables connectivity, trade, tourism, and business travels while contributing significantly to GDP and employment worldwide. It is characterized by high capital intensity, substantial fixed costs (aircrafts, maintenance, support center, etc.), and perishable inventory, as unsold seats generate no revenue. However, during the pandemic, transportations services were heavily harmed, resulting in drastically dropped revenue and lower booking rate. According to J.P. Morgan (2025), airlines were expected to exceed pre-pandemic passenger traffic and revenue in 2025. However, recession has weakened consumer confidence and slowed travel bookings. Despite weaker demand, major airlines generally maintained strong liquidity and healthier balance than before Covid and the Global Financial Crisis.

For this report, we will focus on the US commercial airline industry since JetBlue operates primarily within the United States.



*Figure 1. U.S. domestic airline market share by revenue passenger miles, April 2025–March 2026*

The domestic airline industry remains a key component of the national transportation system. According to Bureau of Transportation Statistics (BTS) data for the 12 months ending March 2026, U.S. airlines carried 843 millions enplaned passengers. Passenger traffic decreased slightly year-over-year by 0.8 percent; however, departures rose 1.3 percent showing airlines offered more flights despite the decrease in demand. Year-over-year load factor fell 1.3 percent showing that demand did not keep pace with seat capacity.

Figure 1 indicates the U.S. airline industry to be quite concentrated. Delta Air Lines, American Airlines, Southwest Airlines, and United Airlines represent 17.8%, 17.5%, 17.0%, and 16.8% of domestic revenue passenger miles, respectively. Together these airlines account for nearly 70% of the market. JetBlue, however, only has about 4.6% of the domestic market share and is considered one of the nation's mid- sized carriers. The concentration of the airline industry displays just how much competition JetBlue Airlines faces against much larger airlines that have more routes and higher revenue.

Larger airline carriers, according to J.P Morgan's report, would have stronger resilience because they have easier access to capital, but the overall industry is facing the same challenges:

- **Fuel price**

Fuel price volatility is one of the largest risks that airline companies face. If oil prices spike, it can drastically drive up costs. In 2026, tensions around the Strait of Hormuz caused shockwaves throughout the global energy market causing the price of jet fuel to double in months. While airlines did pass these costs onto consumers through ticket prices and additional fees, high fuel prices still hurt profitability (IATA, 2026). This also could symbolize geopolitical risk. If a conflict happens outside of the United States, it can

still greatly impact airline companies profitability even if they don't serve routes to that region.

- **Economic Uncertainty**

Another risk is that airline companies demand is closely tied to overall economic conditions. Someone has to need to purchase a plane ticket for leisure purposes. As such, passenger demand will continue to weaken as IATA expects the 2026 energy crisis to slow down global economic growth and fuel higher inflation. This cuts into consumer purchasing power and should worsen travel demand. As such, airlines will continue to face risks from a potential recession and macroeconomic uncertainty.

- **Thin Profit Margins**

The airline industry may earn hundreds of billions of dollars in revenue, but they make slim profits from that. IATA expects the industry to see a net profit margin of about 2% in 2026. With such small margins, any small increase in operating expenses can have a significant impact on profitability. From this, we can tell that the airline industry is highly capital intensive and they are unable to pass on these costs to consumers.

- **High Fixed Costs**

Flying airlines have high operating costs that they need to meet regardless if people are traveling during a recession. They need to purchase airplanes, pay for maintenance and repairs, pay airport fees, and cover employees' salaries.

Even as airlines deal with higher costs and economic uncertainty, demand for flying has proven fairly strong. Airlines keep investing in new planes, technology, and streamlined operations even as profit margins get squeezed.

## JetBlue Overview

Founded in 1998 by David Neeleman, JetBlue Airways launched its first flight from John F. Kennedy International Airport in February, 2000, marking the emergence of the first significant U.S. commercial carrier in many years. Today, it is the only major commercial airline based in New York City. By late 2025, routes spanned 112 locations throughout North America, the Caribbean, Latin America, and parts of Europe (JetBlue Airways Corporation, 2026, Item 1).

Beginning mid-2024, JetBlue rolled out JetForward following prolonged stretches of low earnings. Instead of chasing expansion alone, the shift steered toward better margins without weakening service quality central to its identity. At its core, this approach rests upon four aims: running flights with greater consistency, boosting presence in East Coast vacation-driven routes, broadening income-generating offerings, and lifting overall fiscal health. By 2025, gains tied to the initiative neared \$305 million in added operational profit, per internal reporting. Performance benchmarks like punctuality and traveler feedback showed upward trends through the program's first full year (JetBlue Airways Corporation, 2026, pp. 1–3).

Most trips on JetBlue move straight from origin to destination, skipping traditional transfer centers. While it flies north into Canada, south through the Caribbean and Latin America, plus some routes across the Atlantic, its core activity stays within U.S. borders. Eastern states see heavier coverage than other regions. Six key airports, New York, Boston, Fort Lauderdale, Orlando, Los Angeles, and San Juan, anchor nearly all of its flight paths. Flights linking the Northeast with Florida form a backbone of daily operations. Leisure travel drives much of the demand, alongside visits to family and friends. Routes beyond the U.S. extend that pattern overseas. International offerings grow naturally from existing customer habits. Strongest traffic flows tend to reflect vacation patterns rather than corporate schedules. Service outside North

America supports, but does not lead, overall strategy. By 2025, leisure-focused regions had become central to the carrier's operations. Though transcontinental paths held notable share, Caribbean and Latin American destinations led with 36.5% of total seat supply. Behind these came Florida flights at 25.4%, slightly trailing long-haul domestic lines. Such distribution aligns with a broader approach: building dominance in vacation-driven areas while expanding internationally. According to corporate filings from 2026, this pattern illustrates a deliberate tilt toward high-demand leisure oriented zones rather than broad global reach (JetBlue Airways Corporation, 2026, Item 1, p. 9).

Although most of JetBlue's operations focus on vacationers along with those flying to see family and friends, business flyers remain part of its customer base too, especially in certain cities. Rather than rely solely on rock-bottom prices, the carrier leans into added extras. Complimentary internet access comes included, just like seatback movies and light meals. Each traveler may bring a small suitcase onboard at no extra charge. Extra legroom sits available through paid upgrades called EvenMore. Lie-flat beds appear in Mint class, reserved mainly for long-haul flights across the country or ocean. These premium sections aim squarely at guests willing to spend more (JetBlue Airways Corporation, 2026, Item 1, pp. 8–9).

What sets JetBlue apart is how it blends low-cost tickets with improved comfort. Instead of just cheap seats, the airline builds trust using TrueBlue - a system where travelers collect credits for flights or extras. In 2025, new upgrades arrived: a lounge debuted at JFK, joining a freshly launched high-tier credit card. Alongside these came an agreement named Blue Sky, linking United and JetBlue so passengers gain benefits on either carrier (JetBlue Airways Corporation, 2026, Item 1, p. 10).

One step ahead, JetBlue sits where budget airlines meet full-service carriers. Instead of just cutting prices, it builds loyalty through better service, extra comforts during flights, and focused attention on vacation routes along the East Coast. Still, the push behind JetForward shows leaders understand sharper operations mean stronger profits, which is vital for staying in the market years ahead.

Financial Statement Analysis

Although JetBlue has a clear business strategy and continues to differentiate itself across the market, these initiatives did not fully translate into a strong financial position.

JetBlue Airways - Key Balance Sheet Items (2023-2025)

| Year | Current Assets (\$ millions) | Current Liabilities (\$ millions) | Working Capital (\$ millions) | Total Debt (\$ millions) | Stockholders' Equity (\$ millions) |
|------|------------------------------|-----------------------------------|-------------------------------|--------------------------|------------------------------------|
| 2023 | 2,160                        | 3,628                             | -1,468                        | 4,716                    | 3,337                              |
| 2024 | 4,258                        | 3,881                             | +377                          | 8,539                    | 2,641                              |
| 2025 | 3,238                        | 4,402                             | -1,164                        | 8,498                    | 2,120                              |

Source: JetBlue Airways Corporation Form 10-K, Consolidated Balance Sheets for the years ended December 31, 2023, 2024, and 2025.

Figure 2. JetBlue Key Balance Sheet Items, 2023-2025

According to figure 2, the 10-K reports show a huge decrease of total current assets and increase of total current liabilities. The figure 3 visualized the trend, emphasizing on the increasing differences between total current assets and current liabilities, which would be indicated by the firm's liquidity. Total working capital also decreased by 1,164 millions, which would limit JetBlue’s ability in investment and boosting sales. Total debt grew close to double from 2023 to 2024, and slightly decreased in 2025, while stockholders equity decreased throughout years.

JetBlue Airways - Income Statement Highlights (2023-2025)

| Item                                        | 2023             | 2024             | 2025             | Trend / Notes                                   |
|---------------------------------------------|------------------|------------------|------------------|-------------------------------------------------|
| Total Operating Revenue                     | \$9,615M         | \$9,279M         | \$9,062M         | Declining (-5.7% from 2023 to 2025)             |
| Largest Expense: Salaries, Wages & Benefits | \$3,055M (31.8%) | \$3,263M (35.2%) | \$3,453M (38.1%) | Largest expense every year; rising % of revenue |
| Aircraft Fuel                               | \$2,807M (29.2%) | \$2,343M (25.3%) | \$2,057M (22.7%) | Decreasing significantly (good for JetBlue)     |
| Maintenance, Materials & Repairs            | \$654M (6.8%)    | \$628M (6.8%)    | \$791M (8.7%)    | Increased in 2025                               |
| Depreciation & Amortization                 | \$621M (6.5%)    | \$655M (7.1%)    | \$688M (7.6%)    | Gradually increasing                            |
| Other Operating Expenses                    | \$1,499M         | \$1,404M         | \$1,374M         | Slightly decreasing                             |
| Operating Loss                              | -\$230M          | -\$684M          | -\$368M          | Worst in 2024; improved in 2025                 |
| Net Loss                                    | -\$310M          | -\$795M          | -\$602M          | Improved from 2024 but still in loss            |

Source: JetBlue Airways Corporation Form 10-K, Consolidated Statements of Operations for the years ended December 31, 2023, 2024, and 2025. Percentages shown are expense as % of Total Operating Revenue.



*Figure 3. Income Statement Highlights, 2023-2025*

JetBlue's operating revenue declined from \$9,615 million in 2023 to \$9,062 million in 2025, as shown in figure 3. The company's largest expense is salaries, wages, and benefits, which increased as a percentage of revenue from 31.8% in 2023 to 38.1% in 2025. In contrast, aircraft fuel expenses decreased significantly from 29.2% to 22.7% of revenue over the same period, providing some relief. Despite these cost dynamics, JetBlue recorded net losses in all three years, with the largest loss occurring in 2024 before improving to -\$602 million in 2025.

**JetBlue Airways - Financial Ratio Analysis (2023-2025)**

| Category      | Ratio                              | 2023      | 2024      | 2025      | Trend                   |
|---------------|------------------------------------|-----------|-----------|-----------|-------------------------|
| Liquidity     | Current Ratio                      | 0.60      | 1.10      | 0.74      | Worsened after 2024     |
| Liquidity     | Quick Ratio                        | 0.52      | 1.02      | 0.57      | Worsened after 2024     |
| Liquidity     | Working Capital (\$M)              | -1,468    | +377      | -1,164    | Negative again in 2025  |
| Leverage      | Debt to Equity Ratio               | 1.41      | 3.23      | 4.01      | Significantly increased |
| Profitability | Operating Profit Margin            | -2.4%     | -7.4%     | -4.1%     | Improved in 2025        |
| Profitability | Net Profit Margin                  | -3.2%     | -8.6%     | -6.6%     | Improved in 2025        |
| Profitability | Return on Assets (ROA)             | -2.2%     | -4.7%     | -3.6%     | Improved in 2025        |
| Profitability | Return on Equity (ROE)             | -9.3%     | -30.1%    | -28.4%    | Still very weak         |
| Profitability | Earnings Per Share (EPS)           | -\$0.93   | -\$2.30   | -\$1.66   | Improved in 2025        |
| Efficiency    | Receivables Turnover (times)       | 28.6      | 26.7      | 24.4      | Slightly slower         |
| Efficiency    | Days Sales Outstanding (AR Days)   | 12.8 days | 13.7 days | 15.0 days | Slightly slower         |
| Efficiency    | Payables Turnover (times)          | 15.4      | 16.1      | 14.4      | Slightly slower in 2025 |
| Efficiency    | Days Payable Outstanding (AP Days) | 23.8 days | 22.7 days | 25.3 days | Slightly slower in 2025 |
| Efficiency    | Inventory Turnover (times)         | 90.3      | 63.1      | 48.9      | Decreasing (slower)     |
| Efficiency    | Inventory Days                     | 4.0 days  | 5.8 days  | 7.5 days  | Increasing (slower)     |

Source: Calculated from JetBlue Airways Corporation Form 10-K Consolidated Balance Sheets and Statements of Operations for the years ended December 31, 2023, 2024, and 2025.  
AP Turnover approximated using Operating Expenses / Accounts Payable. Inventory Turnover approximated using Operating Expenses / Inventory (Spare parts & supplies).

*Figure 4. Key Financial Ratio Changes, 2023-2025*

Through sources from 2023-2025 10-K report, the financial ratio indicates that JetBlue continued to experience financial challenges. While several profitability ratios improve slightly in 2025, the company is still facing decreasing liquidity, declining operational efficiency, and increasing debt.

Liquidity ratios assess the company's ability to pay off its short-term obligations. JetBlue's current ratio increased from 0.60 in 2023 to 1.10 in 2024, suggesting that it experienced a temporary improvement in short-term liquidity. However, it decreased to 0.74 in 2025 and fell

below the standard threshold of 1.0. Current liabilities exceeded current assets again. The quick ratio had a similar trajectory, rising from 0.52 to 1.02 in 2024 before dropping to 0.57 in 2025.

Because the quick ratio excludes inventory, JetBlue's liquid assets were not enough to cover short-term obligations. Working capital exhibited the same trend. It increased from negative 1.47 billion in 2023 to 377 million in 2024 before decreasing to -1.16 billion in 2025. Overall, the data shows that the improvement in 2024 appears to be temporary, and JetBlue may face continued challenges in financing its operations without external financing.

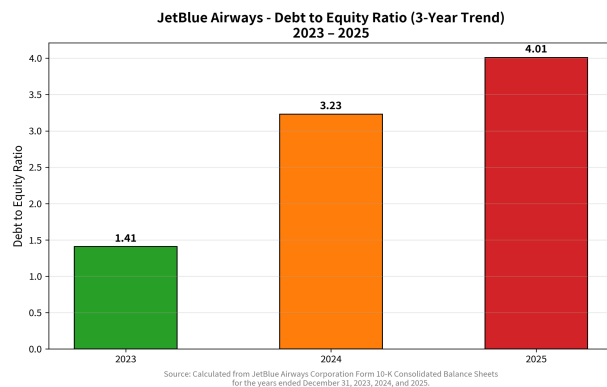


Figure 5. Debt to Equity Trend

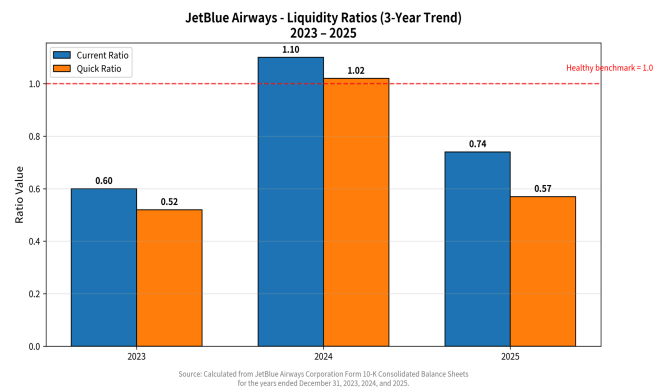


Figure 6. Liquidity Ratio Trend

The debt-to-equity ratio went from 1.41 in 2023 all the way up to 3.23 in 2024 and 4.01 in 2025. That suggests that the company is relying more and more on debt to finance its operations as shareholders equity is eroding due to losses, as shown in the figure 5. Higher leverage dramatically increases financial risk as there is more interest and principal to pay back. The risk of the company's capital structure will be seen as risky by investors and creditors.

Profitability was extremely poor throughout all three years, but there were signs of improvement in 2025. The operating profit margin decreased from -2.4% in 2023 to -7.4% in 2024 before bouncing back to -4.1% in 2025. Net profit margin also improved from -8.6% in 2024 to -6.6% in 2025. This means that while the company is still not profitable, its losses are less than they have been in the recent past. Return on assets (ROA) increased from -4.7% to -3.6%. Return on

equity (ROE) was abysmal at -28.4%, only improving from -30.1% the previous year. While this marks a significant improvement for ROA, JetBlue is still destroying shareholder value with its net losses as seen by ROE. JetBlue's earnings per share (EPS) also increased from -\$2.30 to -\$1.66. As with net profit margin, this is an improvement in the right direction, but JetBlue is still losing money on a per share basis. Even though there are positive signs in 2025 that profitability may be on the upswing, JetBlue suffered from an inability to turn a profit. Cost control could have begun to take effect, as seen by the improvements in the various ratios.

Efficiency ratios were somewhat mixed. Receivables turnover decreased from 28.6 to 24.4, while DSO (Days Sales Outstanding) increased from 12.8 days to 15.0 days. Collection was somewhat slower but is still occurring quickly. Payables turnover hardly changed, while DPO (Days Payable Outstanding) increased from 23.8 days to 25.3 days. The company paid suppliers slightly slower in 2025. Inventory management experienced the greatest deterioration. Inventory turnover decreased from 90.3 in 2023 to 48.9 in 2025, while inventory days increased from 4.0 days to 7.5 days. Overall, the efficiency of operations seemed to have gotten worse during the 3-year period analyzed. Receivables and payables were stable, but slower turnover of inventory may signal less efficient inventory management and/or lower demand.

#### JetBlue vs Airline Industry Average Ratios (2025/2026)

| Ratio            | JetBlue (2025) | Industry Average             | Comparison                   |
|------------------|----------------|------------------------------|------------------------------|
| Current Ratio    | 0.74           | 0.60 - 0.65                  | Better than average          |
| Quick Ratio      | 0.57           | 0.37 - 0.50                  | Better than average          |
| Debt to Equity   | 4.01           | 1.5 - 2.55                   | Significantly higher (worse) |
| Operating Margin | -4.1%          | ~3% to 6% (profitable peers) | Worse (still in loss)        |

Sources: CSIMarket (Airline Industry Q1 2026), Investopedia (Major U.S. Airlines end of 2025), and academic studies on airline financial ratios.  
Note: Industry averages vary slightly depending on the sample of airlines included.

*Figure 7. Industry Average*

Even though JetBlue's liquidity decreased between 2024 and 2025, its liquidity position still presented favorably when contrasted with the industry average. JetBlue had a current ratio and quick ratio of 0.74 and 0.57 in 2025, respectively, which beat the estimated industry averages of 0.60-0.65 and 0.37-0.50 (CSIMarket, 2026). This means that even though JetBlue's liquidity position dropped from 2024, it still has higher short-term liquidity than its competitors on average. However, both ratios fell short of the common benchmark of 1.0.

On the other hand, JetBlue appears to have a substantially weaker capital structure compared to the industry. The company's debt-to-equity ratio grew to 4.01 in 2025, well above the average of around 1.52 that has been calculated for major U.S. airlines (Investopedia, 2026). In other words, JetBlue uses significantly more debt to finance its operations than its competitors, meaning it also has a higher risk and incurs more interest expenses.

Profitability also continued to be problematic for JetBlue. While many of its peers enjoy positive operating margins around 3%-6%, JetBlue reported an operating margin of -4.1% in 2025 (Investopedia, 2026). Although this was an improvement from 2024, JetBlue still experienced an operating loss, meaning that increasing costs and competition are outpacing revenue growth.

The industry comparison tells a mixed story. JetBlue fares well against its competition in terms of liquidity but too much liquidity might lead to lack of investment. On top of that, the company has substantially more leverage than its competitors and still suffers from operating losses.

## Strategic Assessment

- **Strength**

JetBlue maintains a competitive advantage by competing on customer experience instead of pricing alone. Free Wi-Fi, snacks, in-flight entertainment, and premium offerings like Mint allow the company to offer more value than most low-cost carriers. It also has an established brand with strong recognition in many East Coast leisure markets.

Financially, JetBlue's liquidity situation is a relative strength compared to many airlines despite weakening in recent years. Ratios such as current and quick showed improvement in 2025 compared to estimated industry averages. Neither metric reached 1.0, which would indicate positive net working capital, but the numbers suggest JetBlue is better positioned than most airlines to cover its short-term liabilities. Profitability improved marginally in 2025, with metrics such as operating margin, net margin, return on assets, and earnings per share all increasing from the previous year. The direction of these metrics suggests JetForward may be having a positive impact on the company's financial performance, although it remains far from profitable.

- **Weakness**

JetBlue's biggest weakness is its profitability. The company has posted net losses for each of the past three years, and while the annual loss decreased in 20, its profitability ratios remain deep in negative territory. JetBlue has yet to prove it can adjust costs and grow enough revenue to achieve sustainable profitability.

The airline's leverage situation is even worse. JetBlue's debt-to-equity ratio increased from 1.41 in 20 to 4.01 in 20, drastically exceeding the estimated industry average. This

suggests the company continues to rely heavily on debt as a source of financing while shareholders' equity erodes due to annual losses. High leverage ratios can severely limit a company's flexibility because debt must be repaid regardless of financial performance. It also magnifies interest expenses, which hurts profitability during downturns.

JetBlue's liquidity ratios also trended poorly. Both the current ratio and quick ratio dipped back down after increasing modestly, and working capital fell back into deficit territory (less than \$1.1 billion). JetBlue's liquidity still appears healthy compared to other airlines, but the metrics are clearly moving in the wrong direction. Efficiency ratios also declined across most categories during the three-year period, indicating management still has considerable room to improve productivity.

- **Opportunities**

JetBlue has several opportunities it can pursue to improve financial performance in the coming years. If executed effectively, JetBlue's JetForward plans can continue reducing costs while improving on-time performance, cancellation rates, and premium sales. Its investments into Mint, airport lounges, and its Blue Sky partnership with United Airlines can help capture higher-value customers and increase brand loyalty.

JetBlue could also benefit from a general improvement in the economy and continued demand for leisure travel. The majority of its routes connect high-demand airports in the Northeast, Florida, Caribbean, and Latin America. If consumer spending increases across these markets, JetBlue should see a corresponding increase in passengers. Newer fleets and investments into digital services can also drive improvements in fuel efficiency, which would help cap operating costs going forward.

- **Threats**

JetBlue faces significant competitive threats from larger carriers like Delta, American, United, and Southwest. These airlines benefit from stronger economies of scale, larger route networks, and more available capital. They also have more capacity to absorb negative impacts from economic slowdowns and spend on expansion.

Fuel price volatility is another of JetBlue's largest threats. Fuel typically accounts for a large portion of airlines' operating expenses, so geopolitical tensions and shocks to the global oil market can immediately impact profitability. Recessions and economic slowdowns also threaten JetBlue's business because leisure travel makes up a significant portion of flying volume. Discretionary spending is usually among the first budget items affected when consumers face economic uncertainty.

Last, JetBlue's high debt load leaves it vulnerable to rising interest rates, weak cash flows, and future recessions. The company has emphasized its balance sheet will improve as operating performance increases, but if the airline does not approach profitability, debt servicing could become an issue.

## **Discussion & Conclusion**

### **Is the airline industry attractive from an investor perspective ?**

Airline investments can be attractive, but there are many more risks than industries with lower fixed costs and greater flexibility. Airlines experience very low margins, have very high fixed costs, and are affected by fuel prices, economic conditions, and geopolitical tensions. Although the pandemic brought air travel to a halt, passenger demand has remained fairly strong. Airlines also require significant capital expenditures to grow or maintain their businesses. Investors should recognize that although there may be growth opportunities in the airline industry, not every airline is a good investment due to these risks.

### **Does JetBlue possess a sustainable competitive advantage?**

JetBlue enjoys high customer satisfaction, free wi-fi and in-flight entertainment, a Mint premium cabin experience, and a large share of loyal customers in East Coast leisure markets. JetBlue has sustainable competitive advantages that differentiate it from other low-cost airlines. It is unclear whether these advantages are enough to be sustainable in the long-run though. After all, JetBlue's competitors have much larger economies of scale, more airline routes, and greater financial resources. JetBlue differentiates itself from competitors on the basis of the flying experience, not price.

### **What is the single biggest risk facing JetBlue over the next five years?**

I think debt is the biggest risk instead of fuel. Fuel prices are more fluctuated and short-term, but debt is the biggest risk facing the company over the next five years. JetBlue debt to equity ratio skyrocketed in the past three years and the difference between shareholder equity and debt keeps increasing. Rising debt would lead to higher financing cost and distress and the net profit is too



thin to recover. If JetBlue cannot turn a profit soon, the company would be at a disadvantaged position relative to other competitors, especially larger airlines who had already taken most of the market.

**Would I invest in JetBlue stock?**

I would personally not buy JetBlue stock at this time. JetForward seems like a logical turnaround strategy and management has shown they can deliver measurable improvements. The company's recent investor presentation also paints management as quite confident, with stable demand and high liquidity. However, investors are skeptical for good reason - JetBlue has not proven it can maintain profitability when faced with headwinds like high fuel prices and substantial debt. I want to see sustained profitability and a solid balance sheet before buying its stock.

**How can AI improve financial statement analysis while still requiring human judgment?**

AI would definitely improve financial statement analysis by performing quick ratio calculations and trend comparison, but we should remain skeptical about the sources. I would be more specific in the appendix.

JetBlue Airways appears to be undergoing a turnaround rather than being financially healthy. The company has developed a strong brand by providing superior customer service and onboard amenities than many low-cost airlines, while JetForward has improved operational reliability, customer satisfaction scores, and various profitability metrics. Management has also stated that the strategy will allow it to produce an additional \$310 million in EBIT during 2026, eventually reaching \$850–950 million on an annual basis by 2027 (JetBlue Airways Corporation, 2026). At

the same time, JetBlue continues to hold about \$2.4 billion in liquidity, giving it options to weather a time of industry-wide uncertainty.

For these reasons, JetBlue's financial health is still far from ideal. The company has posted net losses for three years in a row, its liquidity ratios have deteriorated since 2024, and its debt-to-equity ratio is significantly higher than its industry average. High fuel prices, inflation, and competition with substantially larger airlines will also create headwinds as it tries to achieve stable profitability. In short, JetBlue has what seems to be a great long-term strategy, but management will need to prove that it can translate its operational success into financial success.

### **AI Reflection Appendix**

AI was most useful for browsing through large quantities of information, finding sources for me to read, and improving my ideas. I didn't have to waste hours browsing websites to find industry reports, government statistics, and company filings. AI would point me to these sources so I could review them myself. I used my time reading and understanding the data instead of finding it.

AI's ability to create visualizations was another useful tool. I inputted JetBlue's financial statements for 2023 to 2025, and AI made charts displaying JetBlue's assets, liabilities, debt, and profitability over time. Using these charts, it was much easier to understand how the company was performing and explain my findings in the report.

AI can be useful in helping you find industry benchmark ratios as well. It was harder to find an average debt-to-equity ratio for the airline industry than it was to calculate JetBlue's ratios because not every source had the same estimate. AI showed me data from Investopedia, CSIMarket, and other sources and helped me understand why the estimates were different by reading about each source. Instead of relying on AI to give me the answer, I visited each source to determine which benchmark was most suitable.

However, I think human efforts are still critical. AI can spit out an answer that sounds very authoritative, but that doesn't mean it's correct or credible. Many times I double-checked stats, read through reports, and evaluated whether the information was useful for my paper. (It provides 20 sources for a single answer sometimes) AI allows me to work more efficiently by completing tasks that would take longer to do myself, but my analysis, organization, and conclusion are what matter most and those rely on human critical thinking and knowledge of the airline industry and JetBlue's financial statements.

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